Sales Incentive Policy

DOCUMENT HISTORY

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Department	People Excellence
Prepared by	Sr. Consultant-Talent Experience
Reviewed by	Vice President - People Excellence
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REVISION HISTORY

Issue/Revision		Date	Brief Description of Revision	Author's Sign	Approver's Sign
From	To				
-	v.0		New Policy		

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1. Purpose

The purpose of this Sales Incentive Policy is to reward and motivate sales employees to achieve assigned targets while aligning individual performance with the Company's growth, profitability, and cash flow objectives.
This policy establishes a clear framework for eligibility, performance measurement, and incentive payout.

2. Scope & Applicability

This policy applies to all sales employees who have been assigned targets through a **Target Business Letter (TBL)**.

3. Eligibility

Employees must meet the following conditions to be eligible:

- Must have a valid **Target Business Letter (TBL)**
- Must not be:
  - On a **Performance Improvement Plan (PIP)**
  - Under **disciplinary action**
  - On **extended unpaid leave**

Additional provisions:

- Eligibility applies upon completion of each **half-year cycle**
- For employees serving notice at the time of incentive payout, the incentive will be processed as part of the Full & Final settlement, subject to eligibility criteria and in accordance with the applicable payout cycle.

4. Target Assignment

Targets are assigned annually through the TBL. Incentives are calculated for the full financial year, prorated where applicable.

5. Quota Setting Framework

Each eligible participant will be assigned an **annual sales quota** based on:

- Territory potential
- Account ownership
- Company revenue targets
- Role responsibilities

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Quotas may include components such as:

Component	Description
Clear Order Booking	Clean Order Booking. This refers to a customer's purchase order that has all the terms mentioned clearly, processed in the system, and booked after all approvals and in line with Organization's guidelines.
New Revenue	New Revenue. This defines the value of the order invoiced and thus, revenue recognized in the system from the Orders booked in the current financial year.
Gross Margin	Gross Margin. Gross Margin = Purchase Order Value – sum (Cost of Goods + Direct costs like Implementation / project management + Third-party /sub-contractor's costs + Finance Cost +any misc cost)
DSO	Direct Sales Outstanding. This defines the number of days of outstanding payment. against the invoices raised.

Quotas will be communicated at the start of the fiscal year.

6. Weightage of Quota Components

- Order Booking (OB): **35%**
- Revenue (REV): **25%**
- Gross Margin (GM): **20%**
- DSO: **20%**

7. Minimum Threshold
A minimum of **75% achievement** is required to qualify for any incentive payout.

8. Incentive Structure

Achievement vs Quota	Payout
<75%	0%
75–90%	80% of eligible incentive
91%-100%	100% incentive
101%-125%	110% of eligible incentive
125%+	125% of eligible incentive. Capped at 200% of Variable.

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9. Incentive Formula

Incentive = Target Incentive × (0.35OB + 0.25 REV + 0.20 GM + 0.20 DSO)

Gross Margin Target Alignment with Order Booking:

While Order Booking (OB) and Gross Margin (GM) targets are defined as absolute values in the Target Business Letter (TBL), the Gross Margin target is inherently linked to the expected margin percentage on Order Booking.

In the event that an employee exceeds the assigned Order Booking target, the corresponding Gross Margin target will be proportionately adjusted to maintain the defined margin expectations.

The revised Gross Margin target will be calculated as:
Revised GM Target = Actual Order Booking × Target Margin %

Incentive eligibility for the Gross Margin component will be assessed against the revised GM target, and not the original GM target defined in the TBL.

10. Payment Schedule

Sales incentives will be **calculated and paid on a half-yearly basis**.

- Payouts will be determined based on performance against the **respective half-year quota**.
- However
- **Cycle Details**
  - **April – September:** Paid in December payroll
  - **October – March:** Paid in June payroll

- **Annual Adjustment**
  - Accelerators applicable for achievement above 100% of quota will be determined based on the full-year performance against the annual quota.
  - Any additional incentive resulting from annual accelerators will be adjusted and paid during the **final annual settlement**.

11. Collections Compliance

- Incentive payouts may be **deferred or adjusted** in case of:
  - Delayed collections
  - High DSO

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12. Deal Credit Allocation

- Incentive credit may be shared across contributors
- Final allocation will be determined by:
  - Chief Business Officer (CBO)
  - Sales Leadership

13. Windfall / Bluebird Deals

A **Windfall or Bluebird Deal** refers to an opportunity that materially exceeds normal sales expectations and/or arises outside the regular sales pipeline or individual effort.
Examples include but are not limited to:

- Deals excluded in the quota
- Large Opportunistic Transactions
- Single deal exceeding 25% of the annual quota

In such cases, the company reserves the right to:

- Adjust the quota to include the deal value
- Cap incentive payouts
- Allocate shared credit across contributors
- Apply discretionary bonus treatment

Classification and treatment of such deals will be determined by the Management.

14. Payout Conditions

All payouts are subject to:

- Statutory deductions
- Performance validation
- Management approval

16. Exceptions & Governance

This Sales Incentive Policy is intended to provide clear guidelines; however, exceptional situations may arise. The company reserves the right to interpret, amend, or adjust the policy where necessary to ensure fairness and alignment with business objectives.
All decisions related to incentive calculations, deal classifications, or policy interpretation will be determined by the Management and such decisions will be considered final.

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